
Introduction to China's Financial System

LECTURE 14: NON-BANK FINANCIAL INTERMEDIATION II

Non-bank financial intermediaries

- Securities companies
- Insurance companies
- Fund companies
- Trust companies
- Others
 - Financial asset management companies
 - Financial leasing companies
 - Finance companies
 - Auto finance companies
 - Emerging finance firms

FUND COMPANIES

Investment funds

- Investment funds are investment products created with the purpose of gathering investors' scattered capital, and investing that capital collectively through a portfolio of financial instruments such as stocks, bonds and other securities.
- It is a kind of joint investment organization form that is managed by experts.
 - The income of fund is shared by the investors, the risk is also shared by the investors;
 - The management organization obtains the management fee.
- An investment fund raises funds by issuing fund securities.
 - When raising funds, the investment company must issue a proof document indicating the ownership of capital to the investors. This document is the benefit certificate of the capital investment in the fund, which is commonly referred to as the “fund securities” or the “fund securities holding certificate”.

The characteristics of investment fund

- Small investment from each investor, scale management as a whole
- Professional investment management, rational operation
- Portfolio investment, risk diversification
- Good returns and stability
- Subject to more strict supervision and operation standards

Fund management companies

- A fund management company (or just “fund company”), refers to a company established in accordance with relevant laws and regulations to manage fund operation activities such as fund raising, subscription and redemption of fund shares, investment of fund, and income distribution.
- A fund management company, as an institutional investor, collects many scattered idle funds and makes portfolio investment by issuing fund shares, so as to enable fund holders to share benefits and risks.

Types of investment funds

- (1) Different funds are raised in different ways
- 1. Public funds
 - It is a fund set up for the public raising of fund shares. The fund-raising objects are generally small investors, who have low risk tolerance, so the investment of public funds is relatively stable, and the management's supervision of public funds is also relatively strict.
- 2. Private equity funds
 - It is a fund set up to raise money for specific investors. The funds are mainly raised by wealthy individuals or institutional investors. They generally have strong financial strength and risk tolerance. Therefore, the investment behavior of private equity funds is more aggressive and risk-taking.
 - **Hedge funds** are also private funds. The so-called hedge fund refers to the use of futures, options, swaps, swaps and other hedging means, the use of margin trading, to engage in aggressive, the pursuit of high risk and high return investment funds.
 - **Sunshine private equity** refers to the fund that invests in the stock market after being put on record by the regulatory authorities, and the funds are managed by third-party banks. The net value is regularly disclosed publicly and the fund has regular performance reports.

Types of investment funds

- (2) Different by organizational form
 - 1. Corporate funds

Currently, there are no corporate funds in China, because the relevant laws are missing.

 - It is an investment organization formed by raising funds in accordance with the company law. Also known as an investment company. It has the status of an independent legal person. The investors are the shareholders of the company and enjoy the rights and interests of the company according to the number of shares held. It generally entrusts a fund management company to operate and entrusts another financial institution to manage fund assets.
 - Investment funds in the United States are mostly corporate funds.
 - 2. Contractual funds:
 - Also known as trust fund. It is an investment fund established according to the trust principle by the fund sponsor, the fund manager and the fund trustee jointly entering into a contract. Each of the three parties has its own responsibilities.
 - Investment funds in the UK, Japan and China are contractual funds.
- The difference between corporate fund and contractual fund
- (1) Different legal basis for establishment: company law/trust law
 - (2) Different legal person qualifications. Contractual type cannot be qualified as a legal person.
 - (3) The status of investors is different: the former investors are shareholders, the latter investors are only beneficiaries.
 - (4) Different status of refinancing: the former is a legal person and can refinance from banks; The latter cannot.
 - (5) Different durations: the former can generally last forever, while the latter has a prescribed duration.

Types of investment funds

- (3) Whether the fund certificate can be redeemed
- 1. Closed-ended funds
 - When the fund sponsor sets up the fund, it limits the total amount of fund units. After the total amount is raised, the fund is declared established and closed, and no new investment is accepted within a certain period of time.
- 2. Open-ended fund
 - The total number of fund units issued is not fixed, according to the needs of investors to issue additional. Investors can purchase fund units at any time, or redeem (cash out) the fund units in hands at any time.
- The difference between open fund and closed fund:
 - (1) Duration of existence. Closed-end funds have a fixed duration; Open-ended funds have no fixed duration.
 - (2) The variability of size. The size of closed-end funds is generally unchanged during the term of existence, and can only be increased through expansion; The size of open-end funds is always changing.
 - (3) Fund trading methods. Closed-end funds are generally listed and traded on exchanges; Open-end funds are generally not listed on an exchange.

Types of investment funds

- (4) According to the investment objects of the fund
- Money market fund
 - A fund that invests in money market securities. It has a large amount of investment, but the time is short, the operation is stable, and the risk is small.
- Equity fund
 - A fund that mainly invests in the stock market (the proportion of stock investment must be more than 60%). But it also buys some bonds and currency securities to maintain the necessary liquidity.
- Fixed income fund
 - A fund that invests in fixed income capital securities (medium and long term bonds, preferred shares, etc.) (the proportion of investment in bonds must be at least 80%).
- Hybrid fund
 - A fund that invests in stocks, bonds and money market instruments, but the proportion of stock investment and bond investment does not meet the requirements of either.
- Index fund
 - An investment fund whose portfolio is consistent with the portfolio of stocks in a stock price index and seeks to match the rise and fall of the index with investment returns.

Types of investment funds

- (5) Divided by fund investment strategy
- Growth fund
 - A fund with the basic goal of pursuing long-term capital appreciation and less consideration of current income. Invest primarily in growth stocks.
- Income fund
 - A fund with the pursuit of stable current income as the basic goal. It mainly invests in income securities such as large-cap blue chip stocks, corporate bonds, government bonds, etc..
- Balanced funds
 - A fund focusing on both capital appreciation and current income.

Types of investment funds

- (6) According to the nature of the fund sponsor (基金发起人)
- Non-bank-initiated fund
 - An investment fund initiated and established by a non-bank institution.
- Bank-initiated fund
 - An investment fund initiated and established by a bank. It can be a money fund, a bond fund or a stock fund. It's a special kind of fund.
 - The advantage of bank funds is that they rely on bank credit, have a high degree of trust from individual investors, and also have a large amount of customer information. They can quickly scale up, achieve economies of scale.
 - Bank-affiliated fund management companies occupy the mainstream in money market funds, bond funds, index funds and other markets where investment is not difficult and fees are low, while general fund management companies have the advantage in fund varieties that need to be actively managed.

Establishment of an investment fund

- The establishment of a fund first requires a sponsor (基金发起人), which can be a single institution or composed of multiple institutions.
- The sponsor shall determine the nature of the fund and formulate relevant requirements, and submit them to the competent authority to apply for the establishment of the fund.
- Generally speaking, the fund is initiated by the fund management company or the investment bank under the fund management department.

Setting up a fund company in China

- According to the Securities Investment Fund Law of China, the establishment of a fund management company shall meet the following conditions:
 - 1. It has articles of association conforming to the provisions of the Investment Fund Law and Company Law;
 - 2. The registered capital shall not be less than 100 million RMB;
 - 3. The major shareholders shall have good performance in operating financial business or managing financial institutions, good financial status and social reputation, the scale of assets shall meet the standards prescribed by the State Council, shall be no illegal record in the last 3 years;
 - 4. The number of persons who have obtained the qualification for fund practice shall reach the quorum;
 - 5. Directors, supervisors and senior managers shall have corresponding qualifications;
 - 6. Have business premises, safety facilities and other facilities that meet the requirements;
 - 7. Have a good internal governance, perfect internal audit and monitoring system, risk control system;
 - 8. Other conditions stipulated by laws and administrative regulations and approved by The State Council and stipulated by the securities regulatory body under The State Council.

Setting up a fund company in China

- Establishment Procedures
 - The fund sponsor prepares the documents;
 - The fund sponsor shall first submit necessary documents to the securities regulatory authority under The State Council to apply for the establishment of the fund;
 - Upon receipt of the approval from the CSRC, the fund sponsor shall publish the prospectus and announce the specific offering plan 3 days before the issuance.

The organization of investment funds

- (1) Fund sponsors (or “fund promoters”, 基金发起人)
 - It shall have certain qualifications and shall generally be a legal person rather than a natural person.
 - China stipulates that securities companies, trust companies and fund management companies can act as fund promoters. The Fund law requires that a fund management company be established with a registered capital of more than 100 million yuan.
- (2) Fund manager (or “fund management company”, 基金管理人)
 - Be responsible for investment and operation, generally is a professional institution.
- (3) Fund trustee or trustee (基金托管人)
- (4) Fund underwriters and agents (基金承销商)
- (5) Investment consultants (投资顾问)
- (6) Fund subscription investors (基金认购投资者)
 - Investors shall enjoy different rights and interests according to the type of company and the type of contract.

Fund company and Fund manager

- A fund company, 基金公司, is an enterprise legal person approved by the relevant regulatory authorities. It is a comprehensive financial institution.
 - It is like a large platform for financial services, with a complete organizational structure covering multiple departments such as product development, marketing, customer service, and compliance risk control.
 - It is engaged in various business activities such as the development of fund products, sales and promotion, customer consulting services, and ensuring that the company's operations and fund management comply with regulations.
 - Its business scope involves all aspects of fund operations.
- A fund manager, 基金管理人, on the other hand, is an entity responsible for the investment operation of funds.
 - It is the core part of the fund company's fund management business.
 - Based on laws, regulations and fund contracts, and relying on professional knowledge and experience, it makes investment decisions on fund, including constructing investment portfolios, conducting asset allocation, and continuously managing the portfolios. The purpose is to increase the value of fund assets and obtain returns for fund holders.
 - It plays a crucial role in the specific operation of fund investment.

Fund manager and Fund manager

- A fund manager (a fund management company, 基金管理人) is an entity that conducts comprehensive management of fund operations. It can be a fund company or a team within a fund company that is responsible for fund management.
 - Its responsibilities cover various aspects, from the planning and design of fund products, such as determining investment objectives, investment ranges, and risk control measures, to ensuring the legality and compliance of the entire fund operation process, including supervising trading behaviors, ensuring accurate and timely information disclosure, and managing various operational risks. It is a crucial role in controlling fund operations from a macroscopic level.
- A fund manager (an individual professional, portfolio manager, 基金经理) is a professional hired by the fund manager (the entity). They are the direct executors of fund investment operations.
 - Under the general framework determined by the fund manager (the entity), portfolio managers conduct research and analysis on investment targets and are responsible for specific investment decisions, including selecting appropriate investment varieties such as stocks and bonds, constructing and adjusting investment portfolios to adapt to market changes. Their work outcomes directly affect the performance of the fund.

The development of China's investment fund

■ Germination and Starting Stage (Late 1980s to Early 1990s)

- The investment fund business began to emerge. Mainly, funds **targeting overseas investors** were launched in cooperation with foreign institutions and local governments. The development was exploratory, spontaneous, and **unregulated**.
 - In 1987, the People's Bank of China and China International Trust and Investment Corporation pioneered China's fund investment business and launched national funds for overseas investors in cooperation with some foreign institutions, marking the emergence of China's investment fund business.
 - In 1989, **the first China-concept fund**, the Sun Hung Kai China Fund (新鸿基中国基金) launched by Sun Hung Kai Investment Trust Management Co., Ltd. in Hong Kong, was established. Subsequently, a number of overseas funds were set up, greatly promoting the start and development of China's investment fund industry.
 - In August 1991, **the first investment fund** in mainland China, the Zhuxin Fund was initiated and established by Zhuhai International Trust and Investment Company.
 - In October 1991, the Wuhan Securities Investment Fund and the Nanshan Venture Investment Fund were approved for establishment by the Wuhan Branch of the People's Bank of China and the People's Government of Nanshan District, Shenzhen respectively, with scales of 10 million RMB and 80 million RMB.
 - In October 1992, **the first fund company**, the Shenzhen Investment Fund Company, was established.
 - **However, they are not products and institutions approved by the head office of the People's Bank of China.**

The development of China's investment fund

■ Rapid Growth Stage (1992 - 1993)

- The opening of Shanghai Stock Exchange and Shenzhen Stock Exchange in December 1990 and July 1991 respectively marked the formal formation of China's stock market.
- In 1992, **the number and scale of investment funds grew rapidly**. Sino-foreign joint venture funds emerged, and funds began to be publicly listed and traded on the secondary market.
 - In 1992, 37 investment funds approved by various levels of the People's Bank of China, with a total scale of \$2.2 billion.
 - In June 1992, the **Zibo Township** and Village Enterprises Investment Fund, China's first closed-end investment fund in corporate form, was approved for establishment by the People's Bank of China.
 - On October 8, 1992, the **Shenzhen Investment Fund Management Company**, the first officially approved fund management company in China, was established.
 - In June 1993, nine Chinese financial institutions and the Boston Pacific Technology Investment Fund of the United States established the **Shanghai Pacific Technology Investment Fund** in Shanghai. This was the first Sino-foreign joint venture Chinese fund established within China, with a scale of \$20 million.
 - In October 1993, the Jianye, Jinlong, and Baoding funds targeting the education sector were approved for establishment.
 - In August 1993, the **Zibo Fund was publicly listed** on the Shanghai Stock Exchange, marking that China's funds entered the stage of public listing and trading.
 - **At that time, there was no unified regulatory policy.**

The development of China's investment fund

- Adjustment and Standardization Stage (1993 - 1997)
 - In response to the strong randomness in the establishment and operation of funds, financial regulatory authorities adjusted and standardized the fund industry, suspended the approval of new funds, and **focused on the standardization of established funds and the issuance of approved funds.**
 - **A national trading market began to take shape.**
 - On May 19, 1993, the head office of the People's Bank of China issued an emergency notice, requiring provincial branches to immediately stop the unregulated issuance of investment funds and trust beneficiary bonds.
 - On March 7, 1994, the Shenyang Securities Trading Center started a trial run of networking with Shanghai Stock Exchange; On March 14, the Southern Securities Trading Center was also networked with the Shanghai and Shenzhen stock exchanges simultaneously. **A national trading market began to take shape.**
 - On November 29, 1996, the Jianye, Jinlong, and Baoding funds were listed on the Shanghai Stock Exchange.
 - On October 7, 1997, the State Council preliminarily approved the "Interim Measures for the Administration of Securities Investment Funds", **marking the start of the pilot work for the standardized securities investment funds in China.** At the same time, the China Securities Regulatory Commission specifically established the Fund Supervision Department to be responsible for the pilot work of securities investment funds.

1998: New era of standard development

- If it is divided according to the unified supervision time, 1998 is the beginning of the standard development of the fund industry.
- After 1998, public funds began to be offered.

The development of China's investment fund

■ Development Period (1998-2012)

- Steady Development Stage (1998 - 2003)
- **Closed-end funds** continued to develop, **open-end funds began to be piloted** and achieved extraordinary growth, the number of fund management companies increased, the industry scale expanded rapidly, and **the industry gradually moved towards standardized development.**
 - On March 27, 1998, the newly established Southern Fund Management Company and Guotai Fund Management Company respectively initiated the establishment of two closed-end funds with a scale of 2 billion yuan--Fund Kaiyuan and Fund Jintai, thus opening the prelude of China's securities investment fund pilot.(earliest examples of formal products in the field of China's securities investment funds)
 - On October 8, 2000, the China Securities Regulatory Commission issued and implemented the "Pilot Measures for Open-end Securities Investment Funds", **kicking off the development of open-end funds in China.**
 - In September 2001, Hua 'an Innovation, the first open-end fund in China was born.(by Hua'an Fund Management Company in Shanghai)
 - On June 4, 2002, China Securities Regulatory Commission (CSRC) issued the Rules on the Establishment of Foreign Shareholding Fund Management Companies, which **kicked off the opening of China's fund industry to the outside world.**
 - On October 16, 2002, Guolian'an Fund Management Co., Ltd (国联安基金管理公司) was approved, which was the first Sino-foreign joint venture fund management company approved for the establishment in China.
 - On December 26, 2002, China Merchants Fund Management Co., LTD (招商基金管理公司), the first Sino-foreign joint venture fund management company in China was established, marking an important step in the opening up of China's securities market to the world.
 - On October 28, 2003, **the "Securities Investment Fund Law" was promulgated**, and was officially implemented in June 2004, marking that domestic securities investment funds **entered a stage of development with laws to follow.**

The development of China's investment fund

■ Development Period (1998-2012)

- Rapid Expansion Stage (2004 - 2008)
- The fund performance was outstanding, the asset scale grew rapidly, the number of investors expanded rapidly, **fund products and business innovations continued to develop**, the differentiation among fund companies intensified, and their businesses showed a trend of diversified development.
 - In October 2003, the Fund Law was passed and implemented in June 2004.
 - In February 2004, Shenzhen International Trust & Investment Co., Ltd. launched a securities investment collective trust plan. Private equity funds could formally enter the fund management field as investment advisors.
 - In October 2004, the first listed open-end fund (LOF) in China -- Southern Active Allocation Fund was established.
 - At the end of 2004, China AMC (Huaxia) Shanghai 50ETF, the first exchange-traded fund (ETF) in China, was launched.
 - In May 2006, it launched the first life cycle fund in China -- HSBC Janxin 2016 Fund.
 - In July 2007, it launched the first structured fund in China - SDIC UBS Ruifu Fund.
 - In September 2007, the first QDII fund - Southern Global Select Fund QDII Fund was launched.
 - In April 2008, it launched the first social responsibility fund in China -- Xingye Social Responsibility Fund, etc.

The development of China's investment fund

■ Development Period (1998-2012)

- Stable Development and Innovation Exploration Stage (2008 - 2012)
- While improving rules and deregulating, **the fund industry strengthened supervision**. The business and product innovations of fund management companies were constantly diversified. Internet finance was effectively combined with the fund industry. **Private equity fund institutions and products developed rapidly**. The situation of mixed operation and large-scale asset management began to emerge, and internationalization and cross-border business advanced continuously.
 - In 2008, domestic professional research institutions began to pay attention to sunshine private equity funds. Guojin Securities released the first sunshine private equity fund rating report.
 - In January 2009, the China Banking Regulatory Commission printed and distributed the first document regulating securities trust products - "Guidelines for the Operation of Securities Investment Trust Business of Trust Companies", officially recognizing sunshine private equity funds.
 - On June 6, 2012, Asset Management Association of China (AMAC) was established, opening a new stage of standardized development for the private equity fund industry under supervision.
 - At the end of 2012, after eight years of implementation, the Fund Law was revised, and the new Fund Law brought private equity funds into the scope of fund supervision, marking that the entire fund market entered a stage of development with laws to follow.

2013-2014: Era of innovative development

- In December 2012, the new Fund Law was approved and implemented in June 2013.
- At this time, mobile communication technology has also entered the 4G era and new wind of Internet technology, the fund industry has developed more business models and product types.
- The birth of Yu'E Bao in 2013 marked the beginning of a new era for Internet funds.
 - During this stage, the Internet and the fund industry were deeply integrated.
 - Money market funds expanded rapidly through Internet channels.
 - Various Internet platforms and commercial banks successively launched "baby-type" money market fund products.
- In January 2014, the Asset Management Association of China released the "Measures for the Registration of Private Investment Fund Managers and the Filing of Funds (for Trial Implementation)", which led the private fund industry to shift from a relatively chaotic state of "unchecked growth" to standardized operation.

The development of China's investment fund

- Strengthened Regulation and Standardized Development Stage (2015 - 2018)
 - This stage has strengthened the regulation and **clean-up of private equity institutions**, standardized the asset management business of fund management companies, conducted risk stress tests on the business of fund management companies.
 - From February 2015, the Asset Management Association of China began to layout the "7 + 2" self-discipline rule system.
 - **The industry entered the "strict supervision" era in 2016.**
 - On June 6, 2017, the "Measures for the Compliance Management of Securities Companies and Securities Investment Fund Management Companies" was released. It promoted securities companies and securities investment fund management companies to **strengthen their internal compliance management**.
 - **In 2018**, the "Guiding Opinions on Regulating the Asset Management Business of Financial Institutions" was officially implemented, **which opened the era of unified supervision**, ending the situation of inconsistent rules and regulatory arbitrage in the asset management industry under the previous separate supervision.

In 2015

- Since February 2015, the Asset Management Association of China (AMAC) started to lay out the "7+2" **self-discipline** rule system.
 - Impact: It regulated the private equity fund industry from multiple dimensions such as manager registration, product filing, and information disclosure, raising the entry threshold of the industry. This made the operations of private equity institutions more transparent and standardized, safeguarded the rights and interests of investors.
 - Significance: This is an important milestone in the self-discipline supervision of the private equity industry. It constructed a relatively systematic self-discipline rule framework for the private equity industry.
- In 2015, there was an abnormal fluctuation in the stock market, followed by a **clean-up and rectification of the off-exchange margin trading and other businesses**.
 - Impact: The fund industry was hit by the stock market fluctuations. The net values of some fund products dropped significantly, and investor confidence was shaken. The clean-up of off-exchange margin trading made it difficult for some fund investment strategies that relied on high-leverage margin trading to continue, and the fund scale shrank to a certain extent. At the same time, it prompted fund companies to pay more attention to risk control and strengthen the management of investment leverage.
 - Significance: It made the fund industry realize the importance of risk management, especially the prevention of systemic risks. It pushed the industry to develop in a more stable and compliant direction from simply pursuing scale and returns.

In 2018

- The "Guiding Opinions on Regulating the Asset Management Business of Financial Institutions" was officially implemented.
 - Product pattern: Restricting channel and nested products forced many institutions in the fund industry, especially in the private equity sector, that relied heavily on channel business to transform. The complex product structures with multiple layers of nesting were simplified, and product transparency was improved.
 - Fundraising environment: Breaking the implicit guarantee expectation made investors more rational about the risk perception of fund products and more cautious in product selection, increasing the difficulty of fundraising for fund products, especially those with unclear risk-return characteristics, in the short term.
 - Industry competition: It prompted the competition within the fund industry to shift from competing for scale and channels to competing for investment research capabilities, product innovation, and risk management capabilities.
- Significance: **It opened the era of unified supervision**, ending the situation of inconsistent rules and regulatory arbitrage **in the asset management industry** under the **previous separate supervision**. It reshaped the entire fund industry pattern, guiding the fund industry to return to its original purpose of asset management. In the long run, it is conducive to the healthy and stable development of the industry and the protection of the legitimate rights and interests of investors.
- The implementation of the new asset management regulations in 2018 **broke the rigid payment commitment** and had a profound impact on the fund industry.

The development of China's investment fund

- Since 2018, the fund industry entered a stage with **diversified innovations, concentration** among leading players and continuously **strengthened supervision**.
 - In mid-2019, the first batch of bank wealth management subsidiaries emerged.
 - In 2020, public funds actively laid out equity funds, index funds, and exchange-traded funds (ETFs), etc.
 - In 2022, affected by the stock and bond market conditions, bank wealth management products experienced fluctuations, with a large number of products "breaking the net", and the market scale shrank.
 - In 2023, China continuously strengthened supervision on private equity industry.
 - The AMAC revised the "Measures and Guidelines for the Registration and Filing of **Private Investment Funds**"
 - It is another improvement of the regulatory system for the private equity industry, which is conducive to improving the overall quality of the private equity industry, purifying the private equity market environment, protecting the legitimate rights and interests of investors.
 - The "Regulations on the Supervision of **Private Investment Funds**" was issued
 - This is the first administrative regulation for the private equity industry in China, marking that the supervision of the private equity industry has entered a new stage.

Current status of investment funds in China

- By the end of November 2024, China had more than 140 public fund companies, more than 12,000 public fund products, and the total assets of public fund reached 31 trillion yuan.
- In terms of private fund companies, by the end of year 2022, there were 23,667 private fund companies, more than 100,000 private fund products and the total assets of private funds were around 20 trillion yuan.

Top 10 fund companies in China

- 1. Tianhong Fund Co 天弘基金公司
 - Rise on Yu'e Bao. The size of one Yu'e Bao fund is larger than all the funds of other fund companies combined, so Tianhong Fund ranks first in terms of fund size.
- 2. Efund Fund Co., LTD 易方达基金公司
 - Efund is an old fund company, the strength has been relatively strong. It ranks second in total fund size.
- 3. CCB Fund Co 建信基金公司
 - CCB Fund's largest shareholder is China Construction Bank, with a 65 percent stake. CCB is one of the big four state-owned banks.
- 4. ICBC Credit Suisse Fund Co., LTD 工银瑞信基金公司
 - ICBC Credit Suisse is also the bank background, ICBC holds 80%, in terms of background strength, ICBC Credit Suisse Fund Company is the strongest.
- 5. Boshi Fund Co., LTD 博时基金公司
 - An old fund company, established in 1998. In the field of stocks and bonds, Boshi's performance is also very good, often emerged some performance champions.
- 6. Southern fund Company 南方基金公司
 - Like Boshi and Yi Fangda, it belongs to a category with old qualifications and strong strength, and can often rank among the top 10 in the industry.
- 7. Huitanfu Fund Company 汇添富基金公司
 - Huitanfu's funds are common in Wealth Management, and its money funds have high expected returns. Equity funds have also performed well.
- 8. Guangfa Fund Co 广发基金公司
 - A fund company controlled by GF Securities, is one of the investment managers of the National Social Security Fund and the basic pension Fund.
- 9. China Asset Management Co., LTD 华夏基金公司
 - A fund company with top comprehensive strength in the industry. From 2005 to 2012, it achieved 12 times the expected return, the best performance of stock funds!
- 10. Harvest Fund Co 嘉实基金公司
 - It is also an established fund company established before 2000 with strong comprehensive strength.

Top 10 fund companies in China

2023年四季度末公募非货规模前十名（单位：亿元）		
1	易方达基金管理有限公司	9,526.74
2	华夏基金管理有限公司	8,180.73
3	广发基金管理有限公司	6,352.97
4	招商基金管理有限公司	5,756.01
5	富国基金管理有限公司	5,710.67
6	嘉实基金管理有限公司	5,477.96
7	博时基金管理有限公司	5,305.34
8	南方基金管理股份有限公司	4,885.27
9	汇添富基金管理股份有限公司	4,475.62
10	鹏华基金管理有限公司	4,228.74

Top 20 fund companies in China

2023年四季度末公募非货规模第11~20名（单位：亿元）		
11	工银瑞信基金管理有限公司	3,428.60
12	景顺长城基金管理有限公司	3,373.81
13	华安基金管理有限公司	3,369.23
14	国泰基金管理有限公司	3,253.89
15	天弘基金管理有限公司	3,004.78
16	交银施罗德基金管理有限公司	2,997.70
17	中银基金管理有限公司	2,858.03
18	华泰柏瑞基金管理有限公司	2,849.37
19	中欧基金管理有限公司	2,831.06
20	兴证全球基金管理有限公司	2,753.04

基金管理机构非货币公募基金月均规模 (20家)

序号	公司名称	二季度非货币公 募基金月均规模 (亿元)	一季度非货币公 募基金月均规模 (亿元)	规模变化(亿元)	排名变化
1	易方达基金	9,631.91	9,880.69	-248.78	0
2	华夏基金	7,303.57	7,125.48	178.09	0
3	广发基金	6,692.66	6,696.54	-3.88	0
4	富国基金	6,072.37	5,953.18	119.19	0
5	招商基金	5,560.61	5,457.53	103.08	0
6	嘉实基金	5,045.23	4,780.10	265.13	3
7	博时基金	5,015.62	4,836.06	179.56	1
8	南方基金	4,955.36	5,058.32	-102.96	-2
9	汇添富基金	4,732.46	5,012.35	-279.89	-2
10	鹏华基金	4,428.98	4,259.34	169.64	0
11	工银瑞信基金	3,825.75	3,911.41	-85.66	0
12	景顺长城基金	3,498.15	3,481.35	16.80	0
13	华安基金	3,304.20	3,200.81	103.39	-1
14	国泰基金	3,243.76	3,049.21	194.55	2
15	中欧基金	3,199.78	3,467.65	-267.87	-2
16	交银施罗德基金	3,026.31	3,138.57	-112.26	-1
17	天弘基金	2,987.32	2,854.30	133.02	-1
18	兴证全球基金	2,912.85	2,901.07	11.78	-1
19	中银基金	2,607.56	2,587.52	20.04	0
20	永赢基金	2,316.74	新进前20		

Main problems of China's fund industry

- Trend towards industry concentration:
 - The fund industry is gradually concentrating towards leading institutions. This has put smaller and medium-sized fund companies under greater survival pressure.
- Serious product homogenization:
 - Some fund products on the market are quite similar, lacking distinct differentiating features. As a result, it is difficult for investors to find products that truly meet their own needs. At the same time, this intensifies competition within the industry, forcing fund companies to attract investors by reducing fees and the like, thus squeezing profit margins.
- Insufficient investor education:
 - Investors have insufficient understanding of the risks of fund products and immature investment concepts. They are easily influenced by short-term market fluctuations, blindly redeeming or buying at high prices, which increases investment risks and is also not conducive to the stable development of the fund industry.
- Difficulties in implementing regulatory policies:
 - Although regulatory policies are constantly being refined, there are still phenomena such as some fund companies and employees exploiting loopholes and engaging in illegal operations. For example, the problem of "rat trading", some fund managers use their positions to seek personal gains for themselves or others, harming the interests of investors.
- Shortage of interdisciplinary talents:
 - With the development of fintech and the needs of business innovation, the fund industry has a strong demand for interdisciplinary talents who are proficient in finance, technology, law, and other fields.

Trends of China's fund industry

- Continuous growth in scale
 - Increasing industry concentration
 - Diversified product innovation
 - Development of quantitative investment
 - Influx of Foreign Capital
 - Expansion of overseas markets
 - Stricter supervision
 - Fintech Integration
 - Digital Transformation
-

TRUST COMPANIES

What is a “trust”?

- Trust refers to the act whereby the principal (also known as the trustor), based on trust, entrusts his property rights to the trustee. Subsequently, the trustee manages or disposes of the trust property in his own name, either for the benefit of the beneficiary or for a specific purpose as determined by the will of the principal.
- A trustee entrusted by the trustor, manages property on behalf of the trustor.

The basic parties in a trust relationship

- (1) **Trustor**: the owner of the property in the trust relationship, who uses the trust method to achieve a specific purpose. Rights of the trustor:
 - The right to require the trustee to manage and dispose of the trust property in accordance with the deed entered into
 - The right to object to enforcement of trust property
 - The right to request changes in the way the trust is managed
 - The right to demand compensation for the trust property when the trustee has mismanaged the trust, etc.
- (2) **Trustee**: the person who accepts the entrustment of the trustor, manages and disposes of the trust property according to the instructions of the trustor. Rights of the trustee:
 - Administer and dispose of the trust property in accordance with the wishes of the trustor
 - In the event that the trustee is not negligent, the operating risks of the trust property shall be borne by the trustor and the trustee shall not be responsible for losses arising from the operation of the property.
- (3) **Beneficiary**: the person who enjoys the benefits of the trust property in the fiduciary relationship. Benefits to the beneficiary:
 - The principal benefit, that is, the beneficiary only enjoys the benefit of the trust property itself
 - The income benefit, that is, the beneficiary only enjoys the income from the use of the trust property
 - The full benefit, that is, the beneficiary enjoys both the principal and income of the trust property

Origin of “Trust” in the world

- Trust industry originated in Rome, developed in Britain and America, matured in Japan, popular in the whole world.
 - Trust companies can be traced back to ancient Rome.
 - During the Roman period, the system of "fideicommissum" was regarded as the earliest form of trust. The Romans used wills to entrust their property to trustworthy individuals, asking the trustees to transfer the property to heirs or manage it for the benefit of specific persons according to their wishes. For instance, a Roman citizen might name a friend as the trustee in his will, asking that friend to take care of his children after his death and transfer certain property to them when they came of age.
 - The birth of modern trust industry in US:
 - On February 24, 1818, Massachusetts Life Insurance Company was established in the United States and approved by the government to operate trust business. It is the first company in the world to operate trust business.

Definition of “Trust” in China

- According to the Trust Law of the People's Republic of China, a trust is defined as *an act in which a trustor entrusts his property rights to the trustee based on the trust of the trustee, and the trustee manages or displaces the property rights in his own name for the benefit of the beneficiary or for a specific purpose according to the will of the trustor.*
- *"obtaining the trust of the trustor, being entrusted by the trustor, complying with the trustor's will, and managing financial affairs on behalf of the trustor".*

Trust and investment companies

- A trust and investment company is a financial institution that acts as a trustee to manage money on behalf of others.
- It is known as the three pillars of modern financial industry together with bank and insurance.
- The main businesses of China's trust and investment companies are: fund and property entrustment, asset custody, financial leasing, economic consulting, securities issuance and investment, etc.
- However, they are not allowed to handle bank deposit business.

Main businesses of China's trust companies

- Main businesses:
 - Fund trust business
 - To conduct trust business of movable property, real property and other property
 - To operate investment fund business permitted by relevant laws and regulations, and to engage in investment fund business as a sponsor of a fund management company
 - To engage in enterprise assets reorganization, merger and acquisition, project financing, corporate finance, financial consulting and other intermediary services
 - Entrusted to manage the underwriting business of T-bonds and corporate bonds approved by the relevant departments of The State Council
 - Entrusted custody business
 - Credit verification, credit investigation and economic consulting services, etc
- Trust business shall be conducted in the form of a trust contract signed by the trustor and the trustee. Trust companies entrusted with the management of trust funds and property can only charge commission fees, and the rates shall be set by the PBOC.

Change in business scope of China's trust companies

- **Business Scope Before 2023**

- **Traditional Trust Business**: It includes money trusts, which means that the trustor entrusts the lawfully-owned funds to a trust and investment company for management, utilization, and disposal according to the agreed conditions and purposes. There are also chattel trusts, real estate trusts, and other property or property right trusts. In these cases, the trustor entrusts properties such as chattels, real estates, and intellectual property rights, as well as property rights, to the trust company for management, utilization, and disposal in line with the agreed conditions and purposes.
- **Investment Management Business**: Engaging in investment fund business as the sponsor of an investment fund or a fund management company; operating business in enterprise asset restructuring, mergers and acquisitions, project financing, corporate finance, and financial advisory services.
- **Securities Market Business**: Securities trusts, including sunshine private equity fund business; being entrusted to conduct securities underwriting business approved by the relevant departments of the State Council; handling brokerage, consulting, and credit investigation services.
- **Integrated Financial Business**: Safe custody and safe deposit box services; using inherent property through interbank deposits, interbank lending, loans, leasing, and investment; providing guarantees for others with inherent assets; engaging in interbank borrowing; and other businesses stipulated by laws, regulations, or approved by the China Banking and Insurance Regulatory Commission.

Change in business scope of China's trust companies

- **Business Scope After 2023**

- According to the "Notice of the China Banking and Insurance Regulatory Commission on Standardizing the Classification of Trust Business of Trust Companies", trust business is classified into three major categories with a total of 25 varieties:
 - **Asset Service Trusts**: Refer to the professional trust services provided by trust companies based on trust legal relationships. After accepting the entrustment of trustors and according to their needs, trust companies customize wealth planning, intergenerational inheritance, custody, bankruptcy isolation, risk disposal, and other services. It is divided into five categories, namely wealth management service trusts, administrative service trusts, asset securitization service trusts, risk disposal service trusts, and new asset service trusts, with a total of 19 varieties.
 - **Asset Management Trusts**: Based on trust legal relationships, trust companies sell trust products and provide self-benefit trust services of investment and financial management for trust product investors. This belongs to the private equity asset management business. It is divided into four business varieties, namely fixed-income trust plans, equity trust plans, commodity and financial derivatives trust plans, and mixed trust plans.
 - **Public Welfare and Charity Trusts**: The trustor, for the purpose of public interests, lawfully entrusts its property to a trust company. The trust company manages and disposes of the property in the name of the trust company according to the will of the trustor to carry out public welfare and charity activities. It is divided into two business varieties, namely charity trusts and other public welfare trusts.

Business characteristics of trust companies

- The business characteristics of trust and investment companies:
 - High returns
 - Heavy responsibilities
 - High risks
 - Complex management
 - etc.

The development of China's trust industry

- In 1979, China International Trust and Investment Corporation (CITIC) was established. It is the first trust and investment company in China.
- One of the four major financial institutions (banking, trust, insurance, securities).
- Regulation: CBRC (then CBIRC, now NFRA).
- Law: One law and three regulations
 - Trust Law of the People's Republic of China -- 2001;
 - Measures for the Administration of Trust Companies -- 2007;
 - Measures for the Administration of Trust Companies' Pooled Funds Trust Plans -- 2007;
 - Measures for the Administration of Net Capital of Trust Companies -- 2010.

The development of China's trust industry

- The development of trust industry can be divided into four periods:
 - (1) the old China period before 1949;
 - (2) the early days of New China from 1949 to 1979;
 - (3) the period of mixed operation from 1979 to 2002;
 - From 2002, the re-starting period under the background of the “Trust Law” and “Two measures” (“Measures for the Management of Trust and Investment Companies” and “Interim Measures for the Management of Trust and Investment Companies' Funds”)
 - (4) The regulation adjustment between 2003 and 2007
 - (5) Bank-trust cooperation between 2007 and 2017
 - (6) Profound changes in the function and structure after 2018

The development of China's trust industry

- (1) The old China period before 1949;
- China's trust industry began in Shanghai in the early 20th century.
 - In August 1921, the first professional trust and investment institution, China Tongshang Trust Company, was established in Shanghai.
 - In 1935 the Central Trust Administration was established in Shanghai.
 - By 1936, there were 11 trust companies and 42 trust companies operated by banks.
- At that time, trust institutions mainly engaged in the following businesses: trust deposit, trust investment, securities trust, business management trust, custody trust, heritage trust, real estate trust, agency trust, etc.

The development of China's trust industry

- (2) The early period of New China from 1949 to 1979;
- From the founding of New China in 1949 to 1979, financial trust could not be developed under the highly centralized planned economic management system.

The development of China's trust industry

- (3) The period of mixed operation from 1979 to 2002;
- In October 1979, China International Trust and Investment Corporation (CITIC) was established in Beijing, marking the beginning of the development of trust industry.
- From 1982 to 2001, due to the **non-standard operation** of the trust industry, the state carried out five times clean-up and rectification.
- **The year 2001 was an important year in the history of China's trust industry.**
 - On January 10, the **Measures for the Administration of Trust and Investment Companies** promulgated by the PBOC.
 - On April 28, the Standing Committee of the 9th National People's Congress adopted the **Trust Law**;
 - On October 1, **the Trust Law was formally implemented**, establishing the legal status of the trust system in China for the first time.
- On July 18, 2002, the Interim Measures for the Administration of Fund Trust by Trust and Investment Companies came into effect, **regulating the operation of fund trust business of trust industry.**
- In 2003, the China Banking Regulatory Commission (CBRC) was formally established, and the trust industry, which had undergone five major rectifications, was officially transferred from the jurisdiction of the central bank to the jurisdiction of the CBRC.

The development of China's trust industry

- (4) The regulation adjustment between 2003 and 2007 (transition of CBRC management)
- After taking over the supervision in 2003, **the CBRC reshaped the supervision structure**.
 - In 2004, Issued the Notice on Strictly Prohibiting the Guarantee of Trust Business Commitments of Trust and Investment Companies, the Notice on Further Standardizing Issues related to Pooled Fund Trust Business, the Notice on Issues Related to Information Disclosure of Pooled Fund Trust of Trust and Investment Companies, and the Notice on Issues Related to Standardizing the Operation and Management of Securities Business of Trust and Investment Companies. And other documents.
 - In 2007, CBRC issued Measures for the Administration of Trust Companies and Measures for the Administration of Trust Companies' Pooled Funds Trust Plans, formally replacing Measures for the Administration of Trust and Investment Companies and Interim Measures for the Administration of Trust and Investment Companies' Funds Trust issued by the People's Bank of China in 2001. At the same time, it also issued the Guidelines on the Governance of Trust Companies and the Interim Measures for the Management of Entrusted Overseas Financial Services of Trust Companies.
- The business development of trust companies has gradually **entered a relatively right track**.

The development of China's trust industry

- (5) Bank-trust cooperation between 2007 and 2017 (managed by CBRC)
- After the CBRC took over the management of the trust industry, with the help of the great bull market in 2006-2007, the financial crisis in 2008 and the 4 trillion yuan stimulus plan in 2008-2009, **the bank-trust cooperation became the main business model**.
 - Under the condition that the bank credit scale is under control and the demand for off-balance sheet business grows rapidly, the channel business such as capital allocation business (the important fund assistant of the two rounds of great bull market), infrastructure business such as government and credit business, real estate business (from the credit scale control, etc.), and wealth management funds issuing loans through trust began to develop greatly.
- During the period from 2007 to 2012, the cooperation between banks and trust was mainly based on securities investment trust, while after 2012, the cooperation between banks and trust was mainly based on financing trust.
- During the period from 2012 to 2017, institutions under the CSRC system also tried to copy the business model of trust (such as the establishment of securities companies and fund subsidiaries, etc.), and China Insurance Regulatory Commission (CIRC) also issued relevant policies to liberalize the insurance asset management business.

The development of China's trust industry

- (6) Continuous remodeling of trust industry after 2017 (managed by CBRC)
- The strict regulation in 2017 has made the trust industry continue to reshape and seek transformation.
 - Since 2017, CBRC has successively issued Notice on Regulating Banking and Trust Business, Measures for Supervision and Rating of Trust Companies, Measures for Management of Trust Registration, Guidelines for Fiduciary Responsibility and Due Diligence of Trust Companies, Interim Measures for Equity Management of Trust Companies (Draft), and Measures for Supervision and Rating of Trust Companies. The Interim Measures for the Management of Trust Companies' Funds (Draft), the Notice on Cleaning up and standardizing the Business of Non-financial Subsidiaries of Trust Companies, and the Notice on standardizing the Classification of Trust Business of Trust Companies (Draft) and other documents have been issued to regulate the operation of the trust industry.
- Since the issuance of the new Rules on Asset Management in 2018, China's trust industry has profound changes in the function and structure of trust business.
 - The old financing and channel businesses have been compressed, and the profit margin of new business is still very low.
 - Some trust companies implementing strategic transformation centering on "wealth management".

The trust industry after 2018

- The development of the trust industry after 2018 is mainly reflected in three aspects:
 - Breaking the previous rigid payment mode of the trust industry;
 - Cleaning up the traditional channel business;
 - Standardizing and managing the operation of the capital pool business.

the Asset Management New Regulations in 2018

- **Adjustment of Business Structure**
 - **Reduction of Channel Business:** The New Regulations have strengthened requirements for multi-layer nesting, pass-through supervision, and leverage constraints. Leverage-arbitrage-based channel business has shrunk, and those failing the pass-through supervision in terms of investment scope and funding sources have withdrawn..
 - **Non-standard Debt and Standardized Trusts:** The New Regulations have strictly limited investments in non-standard debt, setting ratios for non-standard investments and thresholds for investors, thus curbing the non-standard debt business.
 - **Other Businesses:** The New Regulations clarify that businesses such as asset securitization, pension products, charitable trusts, and family trusts are not covered by these regulations. In recent years, the scale of different types of trust businesses has increased substantially.
- **Changes in Operational Management**
 - **Enhanced Liquidity Risk Management:** Trust companies are required to strengthen liquidity risk management regarding maturity mismatches.
 - **Implementation of Net Value Management:** The implicit guarantee of principal and return has been broken, and net value management has been implemented. Product net values are required to be calculated regularly, and the transparency of net value disclosure has been increased.
- **Improvement of Active Management Capabilities**
 - The new regulations require trust companies to take active management capabilities as their core competitiveness and make adjustments in multiple aspects, including business structure, profit models, and internal support systems.

New Classification Regulation in 2023

- The "Notice of the China Banking and Insurance Regulatory Commission on Regulating the Classification of Trust Business of Trust Companies" issued in 2023, has had a profound impact on the operation of trust companies.
 - The notice divides trust business into three categories: asset service trust business, asset management trust business, and public welfare and charity trust business, covering a total of 25 business varieties.
 - A three-year transition period has been set, during which trust companies are required to comprehensively review all existing businesses, formulate plans, and carry out orderly rectifications.

New Classification Regulation in 2023

- **Business Transformation and Structural Adjustment**
 - **Return to the Core Trust Business:** The notice emphasizes that trust companies should base themselves on the position of trustees. By clearly defining three major categories of trust business. It encourages trust companies to break away from the traditional credit-like business model and focus more on the core businesses.
- **Enhancement of Risk Management and Compliance Requirements**
 - **Clarification of Business Boundaries and Compliance Requirements:** The notice strictly stipulates the boundaries of various trust businesses. Trust companies are prohibited from conducting channel businesses, fund pool businesses in any form, and from promising that trust property will not suffer losses or guaranteeing minimum returns. This makes the business operations of trust companies more standardized, reduces regulatory arbitrage, and lowers compliance risks.
- **Reshaping of the Industry Competition Pattern**
 - **Intensification of Differential Competition:** The notice prompts trust companies to select key business areas for development according to their own resource endowments and business advantages. For some trust companies that fail to adapt to the new business classification regulations in a timely manner and have difficulties in transformation, they may gradually be at a disadvantage in market competition and even face the risk of being eliminated.
- **Changes in the Regulatory and Market Environment**
 - **More Precise and Effective Regulation:** Regulatory authorities can formulate more precise regulatory rules and supporting mechanisms according to the new business classification standards to effectively supervise the business activities of trust companies, improve the effectiveness of supervision, and prevent regulatory arbitrage and systemic risks.

The rectifications of China's trust industry

- Since its recovery in 1979, the trust industry has undergone seven rectifies, with higher entry thresholds, clearer positioning and a sharp contraction in the number of institutions.
 - The first rectification (1982). In April 1982, The State Council stipulated that “except for trust and investment companies approved by The State Council and authorized entities under The State Council, no region or department shall handle trust and investment business”. It mainly clean up trust companies set up by non-financial institutions to change the situation of excessive and disorderly trust institutions.
 - The second rectification (1985). This round of expansion of the trust industry is basically a repetition of the bank credit business, resulting in the money market credit and money supply out of control. At the end of 1984, The State Council required banks to stop handling trust loans and trust business, and to clean up the existing business, with the focus on those trust business that did not operate in a standardized manner.
 - The third Rectification (1988). From 1986 to 1989, due to the serious inflation, The State Council once again took the rectification of financial trust institutions as an important measure to control the currency and stabilize the finance. As a result, the number of trust and investment companies decreased sharply from 745 to 360.
 - The fourth rectification (1993). The focus of this rectification was to cut off the connection of funds between banks and trust companies, requiring banks to no longer operate trust business, and separate the operation and management of banks and trust companies.
 - The fifth Rectification (1998). Due to unclear business positioning, many trust and investment companies lacked internal management and risk control capabilities, resulting in a large number of non-performing assets and even a serious payment crisis. As a result, the fifth rectification was launched. By the time the Trust Law was enacted in 2001, more than 210 trusts had withdrawn from the market.
 - The sixth rectification (2007). On March 1, 2007, the two new regulations on trust, the regulatory authorities carried out classified supervision on the trust industry, and the trust companies either changed their financial licenses immediately, or entered a transition period. After the issuance of the new rules, major trust companies began to clean up the industry with vigor.
 - The seventh rectification (2020). In May 2019, a series of large payment crises broke out in Essence Trust and Sichuan Trust. In early December 2019, CBRC launched the risk investigation of the trust industry. On July 17, 2020, CBRC decided to take over New Era Trust and Xinhua Trust. In September, CEFCT Trust was also suspended. China's trust industry has entered its seventh industry overhaul.

Current status of China's trust industry

By the end of the second quarter of 2024,

- There are 67 trust companies in China.
- Total Assets
 - The balance of trust assets reached 27 trillion yuan, an increase of 3.08 trillion yuan compared to the end of the fourth quarter of 2023, and an increase of 5.32 trillion yuan compared to the same period of the previous year, with a year-on-year growth rate of 24.52%.
 - The total scale of money trusts in the trust industry reached 19.95 trillion yuan, an increase of 2.58 trillion yuan compared to the end of the fourth quarter of 2023, and an increase of 4.25 trillion yuan compared to the same period of 2023, with a year-on-year growth rate of 27.10%.
- Operating Revenue and Total Profit
 - The industry achieved operating revenue of 33.253 billion yuan, a year-on-year decrease of 32.73%;
 - The total profit was 19.588 billion yuan, a year-on-year decrease of 40.63%.

Current status of China's trust industry

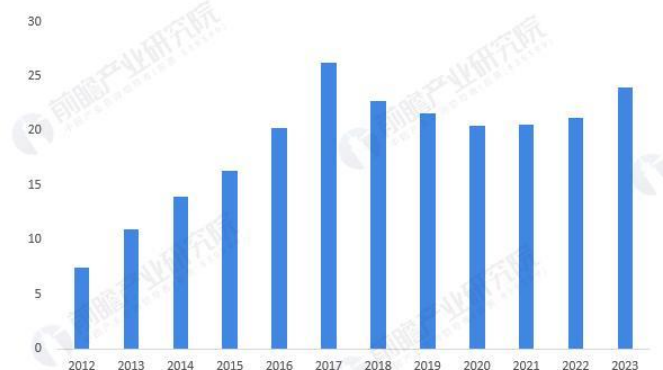
By the end of the second quarter of 2024,

- Structure of Trust Assets
 - **Investment in the Securities Market:** The scale reached 8.34 trillion yuan, an increase of 1.74 trillion yuan compared to the end of the fourth quarter of 2023. It accounted for 41.81% of the total scale of money trusts.
 - **Investment in Real Estate:** The scale was 919.182 billion yuan, accounting for 4.61% of the total scale of money trusts. It decreased by 54.68 billion yuan compared to the end of the fourth quarter of 2023, and the proportion decreased by 2.07%.
 - **Investment in Industrial and Commercial Enterprises:** The scale was 3.87 trillion yuan, accounting for 19.39% of the total scale of money trusts. It increased by 79.388 billion yuan compared to the end of the fourth quarter of 2023.
 - **Investment in Infrastructure:** The scale was 1.63 trillion yuan, accounting for 8.19% of the total scale of money trusts. It increased by 117.16 billion yuan compared to the end of the fourth quarter of 2023.

The asset balance of China's trust industry

- From 2012 to 2023, China's trust asset balance first increased, then decreased, and then increased again. China's trust asset balance exceeded 10 trillion yuan in 2013, 20 trillion yuan in 2016, and grew to 26.25 trillion yuan in 2017, reaching a historical peak. Then it continuously declined to 20.49 trillion yuan from 2018 to 2020, and has been increasing since 2021.
- By the end of 2023, China's trust asset balance was 23.92 trillion yuan.

图表6：2012-2023年中国信托资产余额(单位：万亿元)



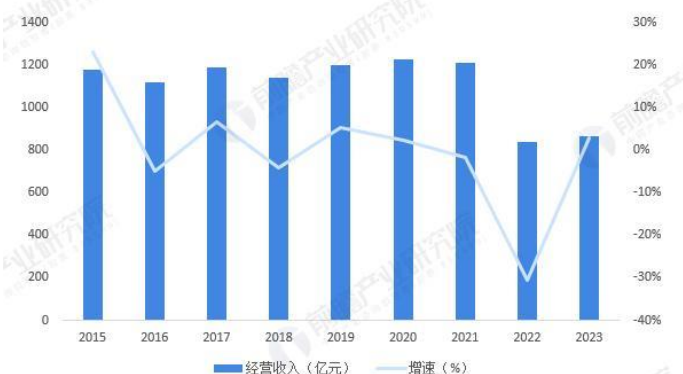
资料来源：中国信托业协会 前瞻产业研究院

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the revenues of China's trust industry

- From 2015 to 2021, the operating revenues of China's trust companies were relatively stable, remaining between 1100 billion yuan and 1250 billion yuan.
- In 2022, affected by large fluctuations in the stock market and a deep adjustment in the bond market at the end of the year, the operating revenues of trust companies declined significantly, dropping by 30.56% compared to 2021.
- In 2023, the operating revenues of China's trust companies slightly rebounded to 863.61 billion yuan.

图表3：2015-2023年中国信托行业经营收入情况(单位：亿元，%)



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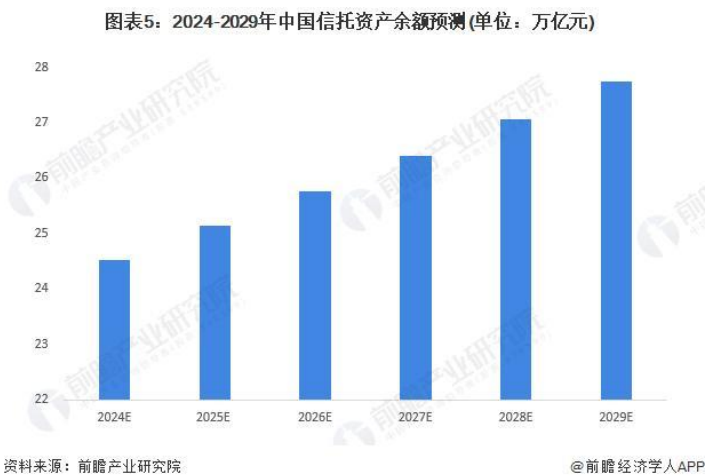
the total profit of China's trust industry

- From 2015 to 2023, the total profit of China's trust companies generally showed a trend of first rising and then falling. From 2015 to 2017, the total profit of trust companies continued to grow to 824.11 billion yuan. After 2018, it fluctuated and declined, dropping to 362.48 billion yuan in 2022, the lowest value in recent years. In 2023, the total profit of trust companies slightly rebounded to 423.74 billion yuan.



Outlook of China's trust industry

- In 2024, the trust industry enters a new stage of development. Affected by new business classifications, new regulatory agencies, new rating standards, new profit models, and new market environments, the expansion of asset size may encounter obstacles in the short term. However, with the construction of new profit models and the exploration of new profit - generating points, it will still maintain a growth trend overall.
- It is expected that the scale of trust assets is expected to approach 28 trillion yuan by 2029.



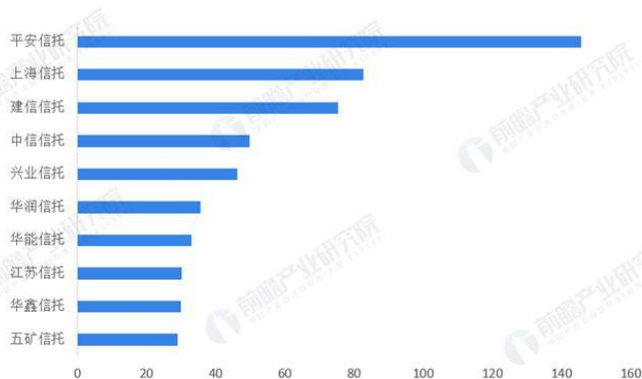
Brief analysis of all 67 trust companies

- Since 2013, the number of trust companies in China has remained stable at 68 for many years.
- In 2022, Xinhua trust company went to bankrupt and now China only has 67 trust companies.
 - At present, the shareholders of 67 trust companies in China have different backgrounds. Among them, 29 local state-owned enterprises, 16 central enterprises, 4 banks, 5 asset management companies, 4 financial institutions and 9 private enterprises hold shares.
 - By the end of 2023, there were seven trust companies with foreign background in China.
 - Up to now, only three trust companies, including Jianyuan (Anxin) Trust, Shaanxi State Investment Trust, Shandong Trust.
- The 67 trust companies are relatively concentrated in six places, including 11 in Beijing, 7 in Shanghai, 5 in Zhejiang, 5 in Guangdong, 4 in Jiangsu and 3 in Shaanxi, totaling 35.
- In addition, there are 2 trust companies in each of 11 provincial-level regions, totaling 22. Another 11 provincial-level regions have only one trust company each. At present, Guangxi, Ningxia and Hainan have no trust companies.

Ranking of operating revenue

- In 2023, Ping An Trust had the highest operating revenue among trust companies, with a revenue of 14.553 billion yuan. It was the only trust company whose revenue exceeded 10 billion yuan. Shanghai Trust and CCB Trust ranked second and third respectively, with operating revenues reaching 8.273 billion yuan and 7.527 billion yuan.

图表2：2023年中国信托行业市场排名-营业收入(单位：亿元)

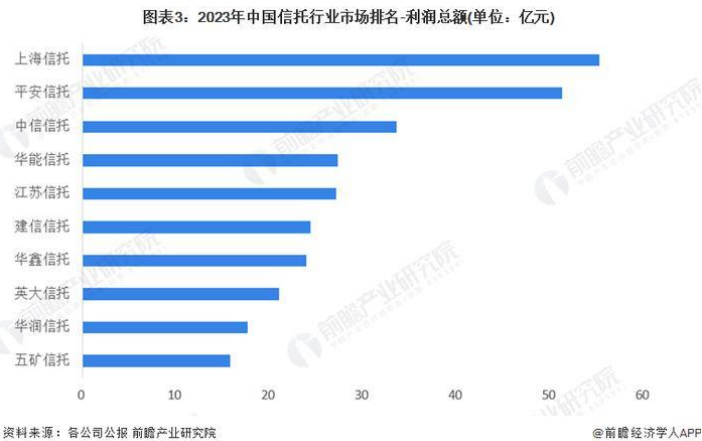


资料来源：各公司公告 前瞻产业研究院

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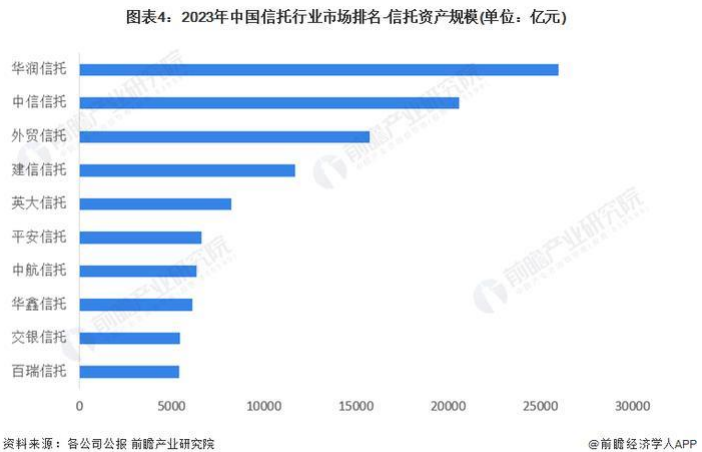
Ranking of total profit

- In 2023, Shanghai Trust ranked first among trust companies, achieving a profit of 5.518 billion yuan. Ping An Trust ranked second, achieving a profit of 5.119 billion yuan. The total profits of other enterprises were all below 5 billion yuan.



Ranking of the scale of trust assets

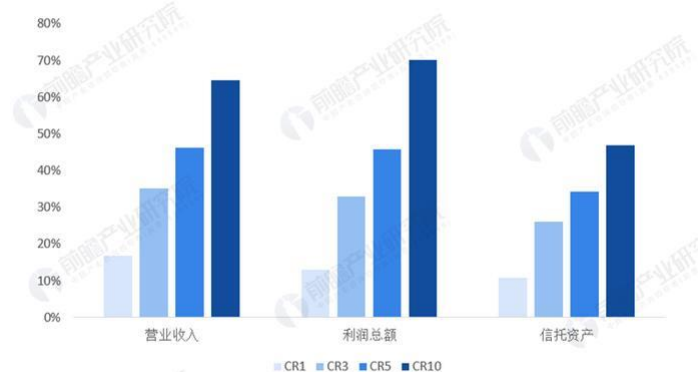
- By the end of 2023, China Resources Trust ranked first, with a total trust asset of 2,598.497 billion yuan. CITIC Trust had a total trust asset of 2,059.335 billion yuan, ranking second. Minmetals Trust and CCB Trust ranked third and fourth respectively, with total trust assets of over 1,000 billion yuan. The trust assets of the remaining enterprises were all below 1,000 billion yuan.



Concentration Ratio

- In 2023, based on the market shares, the market concentration levels of the trust industry calculated by operating revenue and total profit were relatively close. The CR1 was between 10% - 20%, the CR3 was between 30% - 40%, the CR5 was between 40% - 50%, and the CR10 was between 60% - 70%.
- When calculated by trust assets, the market concentration level of the trust industry showed a decline. The CR1 was around 10%, the CR3 was between 10% - 20%, the CR5 was between 30% - 40%, and the CR10 was between 40% - 50%.
- Overall, the market concentration level of China's trust industry is not low.

图表6：2023年中国信托行业市场集中度(单位：%)



资料来源：前瞻产业研究院

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Regulatory framework for the trust industry

- The regulatory framework of the trust industry mainly consists of four parties
 - (1) The Trust Supervision and Administration Department of the CBRC
 - was established in March 2016, and the trust industry is regulated independently.
 - (2) China Trustee Association (CTA)
 - was established in May 2005 to supervise trust companies in the industry.
 - The "Short Sword" system (CRIS), which was launched in 2015, attempts to rate trust companies through four aspects: Capital strength index, Risk management ability index, value-added ability Index and Social responsibility index.
 - (3) China Trust Registration Corporation
 - was established on December 26, 2016 as a financial infrastructure institution in the trust industry.
 - (4) China Trust Protection Fund Co., Ltd.
 - was established on December 12, 2014, funded by China Trust Industry Association and a number of trust companies, with a registered capital of 11.5 billion yuan.

Main challenges in China's trust industry

- Profit model needs to be reshaped:
 - Traditional trust business mainly relied on interest spread income. Under the new "three-category" regulations, it has to shift to a profit model centered on management fees and service fees. However, at present, the fees for products are relatively low.
- Incomplete top-level design:
 - Trust companies still need more powerful policy guidance and development guarantees when carrying out asset service trusts, asset management trusts, and public welfare and charity trusts. For instance, the trust property registration system and tax policies still need improvement.
- Shortage of professional talents:
 - The transformation and innovation of trust business require compound talents who are proficient in multiple fields such as finance, investment, law, and risk management, as well as having an innovative mindset and service capabilities. Currently, there is a relative shortage of such compound talents in the trust industry.
- Insufficient application of fintech:
 - Compared with the banking, securities, and other financial sectors, the trust industry lags behind in the application of fintech. Insufficient investment by trust companies in system construction, data management, and online service platforms affects the customer experience and business efficiency.

Outlook of China's trust industry

- New profit growth points from innovative businesses:
 - As the trust business shifts from mainly relying on interest spread income to management and service fees, trust companies will enhance their professional service capabilities and optimizing business structures, achieving diversified and sustainable profit model development. Innovative businesses such as family trusts and pension financial trusts, while providing personalized and customized services to clients, will also bring new profit growth points for trust companies.
- Continuous improvement of the institutional system:
 - Regulatory details for asset service trusts and asset management trusts are expected to be introduced successively in 2025. At the same time, the regulatory authorities are accelerating the revision of the "Trust Law" and promoting the implementation of the trust property registration system and tax preference systems for charity trusts as soon as possible.
- Highlighting of differentiated competition:
 - Trust companies will combine resource endowments and advantages to explore differentiated transformation paths, highlighting their own characteristics in specific businesses, forming differentiated competition with other institutions.
- Possible increase in industry concentration:
 - With the intensification of market competition, some trust companies with weak strength and a single business may face the risk of being integrated or eliminated, and the industry concentration is expected to further increase.
- Fintech facilitating business development:
 - Trust companies will increase their investment in fintech, using technologies such as big data, artificial intelligence, and blockchain to improve business efficiency, optimize risk management, and innovate service models.